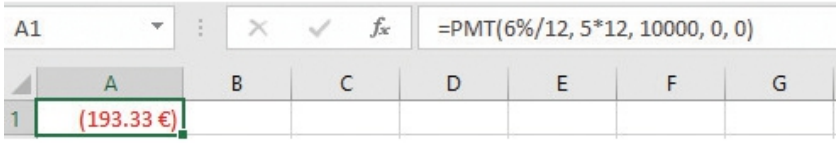
periodic payment of a loan or investment. It takes into account factors such as a fixed interest rate, a specified number of periods, and either a present or future value. This function proves invaluable for calculating the regular payment needed to settle a loan or achieve a future value target.
The correct syntax for the formula is as follows:

=PMT(rate, nper, pv, [fv], [type]

The "*rate*" argument stands for the interest rate for the period, while the "*nper*" argument indicates the total number of payments. On the other hand, the "*pv*" argument stands for the principal amount, i.e., the current total amount. The "*fv*" argument is optional and indicates the future value or total balance to be attained by the final payment. Lastly, "*type*" argument stands for the timing of the payments. f set to 0, payments are due at the end of each period; if set to 1, payments are due at the beginning of each period.
For instance, to compute the monthly payment for a 10,000 € loan over 5 years at an annual interest rate of 6% with monthly payments, you can use the following function:

=PMT(6%/12, 5*12, 10.000, 0, 0)



In this scenario, the "6%/12" argument converts the annual interest rate to a monthly rate, and the "5*12" argument computes the total number of monthly periods. The "10,000" argument denotes the present value of the loan, while the final two "0" arguments signify that there is no future value and that payments are due at the end of each period.
The result of this formula is -193.33 €, representing the monthly payment required to settle the 10,000 € loan in 5 years at an annual interest rate of 6%. The negative sign indicates a cash outflow or payment.

- **RATE Function**